

Micron Technology, Inc.

MU NASDAQ

Buy

\$933.93 ▲ 7.91%

12M Price Target
\$1100.00

52-Week Range
\$103.38 – \$1255.00

Market Cap
\$1.05T

MU: Memory Rebound + CHIPS Act Tailwinds = Trillion Dollar Club

WHAT HAPPENED

- MU ripped +7.9% today on a big memory-sector rally — GM (that's the analyst kind, not General Motors — a Goldman/Morgan-type shop) put out bullish guidance on memory chip demand, and the whole complex moved: SanDisk +8%, WDC +9%, MU +7%. Translation: Wall Street is calling the bottom on the memory-price correction that whacked the stock from \$1,255 down to the \$850s.
- Volume was actually LIGHT today (14M vs 40-60M on down days) — that means the rally happened on short-covering and light buying, not conviction accumulation. Not a bearish tell, but worth noting the move is a bit fragile.

WHY IT MATTERS

Nothing major happened overnight — the thesis is intact. Keep an eye on price action and how the sector is moving for a potential entry point.

IS IT EXPENSIVE?

See key data table.

WHAT COULD GO WRONG

- China retaliation risk: if Beijing escalates its own chip restrictions or bans MU products (they've done it before in 2023), that's an instant 10-15% revenue hit
- Memory is boom-bust — when the cycle turns, it turns hard. A 20% ASP (average selling price) drop can flip them from massive profits to losses in two quarters
- The one nobody's watching: Samsung is aggressively trying to qualify their HBM4 with NVIDIA. If they succeed in 2026, MU loses pricing power fast — this is the sleeper risk that doesn't show up in the headlines

IN THE NEWS

Why GM's memory chip guidance could help stabilize stocks like Micron and Sandisk
Yahoo Finance · 2026-07-21 12:03

SanDisk Rises 8%, Western Digital Jumps 9%, Micron Adds 7% as Memory Rebound Accelerates
24/7 Wall St. · 2026-07-21 14:20

Stock Market Today: Nasdaq Higher As Memory Chip Names Rally; Schwab Wavers (Live Coverage...
Investor's Business Daily · 2026-07-21 14:17

Micron Technology, Sandisk, and Western Digital Are Down Big in the Past Month. Is Now the...
Motley Fool · 2026-07-21 13:20

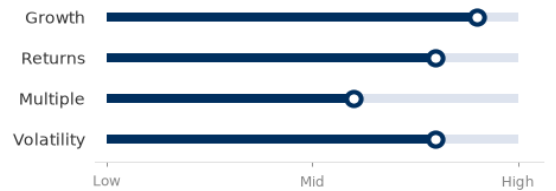
Why Micron Stock Is Jumping Ahead of Google Earnings
Barrons.com · 2026-07-21 13:05

WHAT OPTIONS TRADERS ARE DOING

Key Data

Price (USD)	\$933.93
12M Price Target	\$1100.00
Upside / (Downside)	+17.8%
Market Cap	\$1.05T
FY2026E Revenue	\$52,000M
FY2027E Revenue	\$68,000M
FY2026E EPS	\$14.50
FY2027E EPS	\$22.00
Fwd P/E	64.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$1050.00	\$970.00	\$850.00
6 Months	\$1250.00	\$1100.00	\$780.00
1 Year	\$1500.00	\$1200.00	\$700.00
2 Years	\$1800.00	\$1400.00	\$650.00
5 Years	\$2500.00	\$1700.00	\$500.00
10 Years	\$4000.00	\$2200.00	\$400.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Semis/memory (+1.76% today) on the AI capex thesis reasserting itself; Energy (+1.98% 5D) on power demand from datacenters (yes, it's all connected — AI needs chips AND electricity).

COOLING OFF: Consumer Discretionary (-0.88% 5D) and Industrials (-0.83% 5D) — the "real economy" is showing cracks while the AI economy runs hot.

ROTATION WATCH: Money is rotating from broad tech BACK into memory/hardware names specifically — this is a rotation within tech, not into tech. Software has been getting sold to fund the AI hardware trade.

RELATED PLAY: If MU keeps working, the picks-and-shovels play is ASML (litho equipment) and AMAT (deposition/etch) — they sell to Micron and everyone else, so they win regardless of who takes HBM share.

WHO'S WINNING IN THIS SPACE?

- WDC (Western Digital): +9% today — hard drive and NAND storage benefiting from same datacenter buildout thesis
- SNDK (SanDisk): +8% — pure NAND flash play, riding the memory rebound alongside MU

MU CONTEXT: MU is actually LAGGING WDC and SNDK on today's tape (+7% vs +8-9%), which is a bit odd since MU is the higher-quality name. That suggests today's move is more of a beta rally in the whole memory complex than a stock-specific breakout — meaning if the tape rolls over, MU will pull back with the group. I'd want to see MU lead, not lag, to get more aggressive.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — I like the setup a lot, but a \$1 trillion market cap and light-volume rally into hyperscaler earnings means I'm not pounding the table at \$934.

POSITION SIZE: 3-5% of portfolio — sized for the volatility, not the conviction. Memory stocks can drop 15% in a week for no good reason.

ENTRY POINTS: I'd rather add on pullbacks to \$850-880 than chase up here. If Google earnings disappoint next week, you'll get your shot.

TIME HORIZON: 12-24 months, with the key catalyst being HBM4 volume ramps in 2H 2026 and CHIPS Act cash flowing into the P&L.

WHEN TO BAIL: If Samsung gets qualified at NVIDIA for HBM4, or if the next earnings call flags HBM pricing softness, I'm trimming hard. Also watch for China export control escalation.

HEDGING: Simplest hedge — buy some 6-month put options roughly 10% below current price. Costs you a small insurance premium but caps your downside if the memory cycle rolls unexpectedly. Or just size it smaller and sleep better.